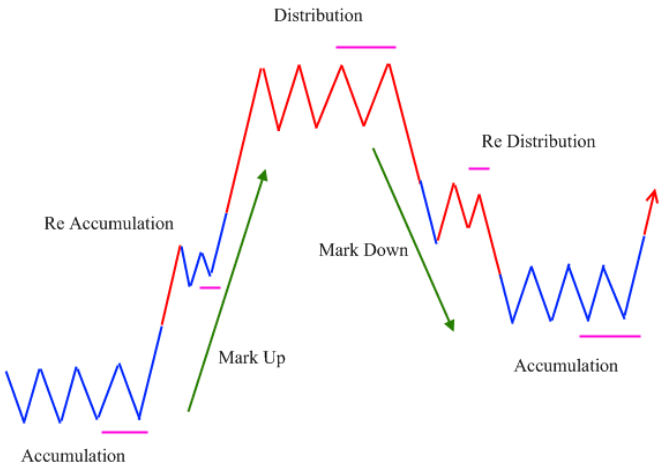
© 2021 DOCTOR PIPS



CHAPTER IV

ELEMENT OF TRADING

CYCLE OF MARKET



One of the strategies is to buy after the price moves away from the resistance level (Buy/Sell on breakout). This is Wyckoff's market cycle theory

Accumulation Phase

Smart Money (SM) has recognized the low/ cheap price market and started collectting in large quantites. Usually the price will be in a state of "sideways" (horizontal) and this phase takes a long time, it may even reach many years.

Mark-Up Phase

At this point, the stocks collected by SM have started to move up after passing the resistance level of a price. During this phase SM will let the market rise neutrally

© 2021 DOCTOR PIPS

At this phase, SM will find the price that is already at its peak price and start releasing their holdings.

The bullish momentum will decrease/ disappear due to the active release of shares by them. Usually buyers who pass by will be stuck here.

Once SM gives up all their shareholdings, the share price will start to fall due to more interest in buying shares on a large scale.

SM will wait for prices to fall at what they consider low to regroup. The collection process will take a long time.

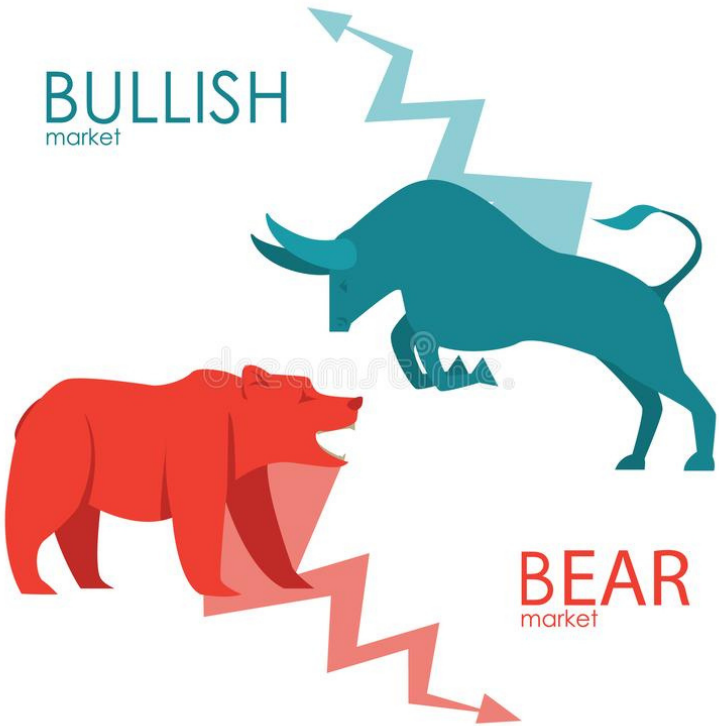
Using this theory, the volume bar indicator is very important to confirm the price movement because it is closely related to "demand" and "supply".

Price movement compared to volume is very important to know the direction of stock price movement.

© 2021 DOCTOR PIPS

MARKET TYPES

When the Bulls are powerful in the market, people are looking to invest money, high confidence and risk acceptance generally increase.

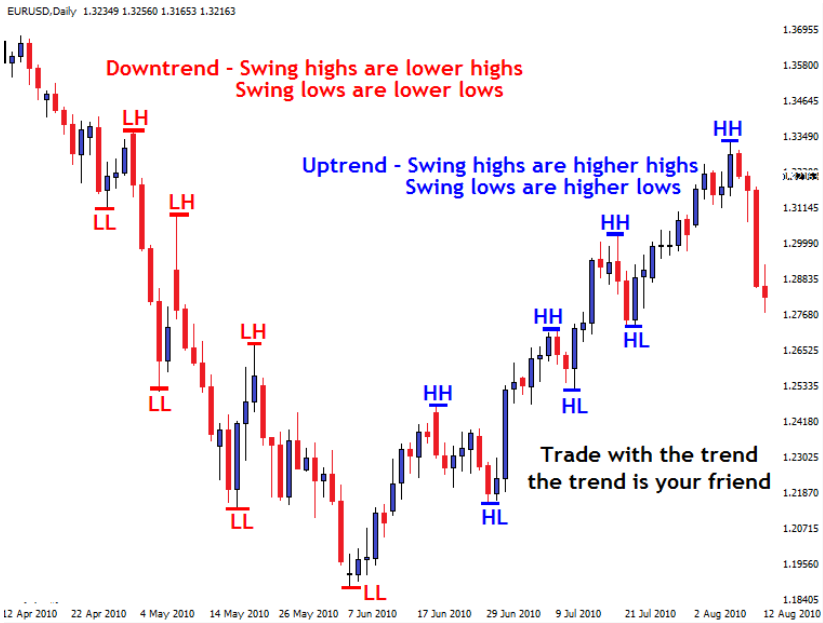


The market declined in a downward trend as investors sold riskier assets.

Traders can take advantage of both because of the two-way Forex market.

© 2021 DOCTOR PIPS

HH, HL, LL, LH



Price movements are based on two types of trends, namely Bullish (uptrend), Bearish (downtrend) and Sideways. This trend analysis is a way to determine the trend of a price movement.

Before determining the trend of a price, the trader must know what is meant by the terms below.

Higher High (HH): Peak price point that exceeds the previous peak.

Lower High (LH): Peak from a price lower than the previous peak.

Lower Low (LL): The lowest point is the lowest of all before.

Higher Low (HL): Higher than the previous point.

© 2021 DOCTOR PIPS

BUY LOW SELL HIGH



We can make a profit when we Buy/ Sell currency.

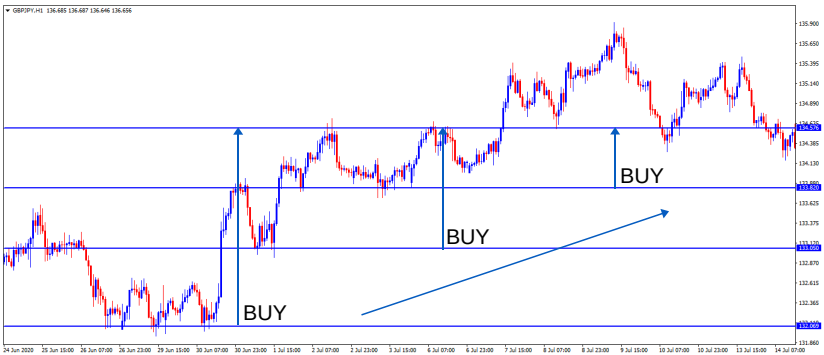
Buy at a low price.
Sell at a high price.

Sell when the price is high, you will get a profit if the price decreases. Will lose if the price goes up.

Buy when the price is low, you will get a profit if the price goes up. Will lose if the price goes down.



© 2021 DOCTOR PIPS



BULLISH MARKET

You need to find a LOW price to BUY. To avoid the opposite trend.



BEARISH MARKET

You need to find a HIGH price to SELL. To avoid the opposite trend.

© 2021 DOCTOR PIPS

SUPPORT & RESISTANCE



Support & Resistance (SNR) is a zone.

The simple language is Roof (Resistance) and Floor (Support). The strength of SNR can be seen through the frequency of price return (retest) in the zone.

If it happens, it means that the breakout zone is not strong. Make sure it is in a fresh zone. Can try to do a back test to see the previous SNR level.

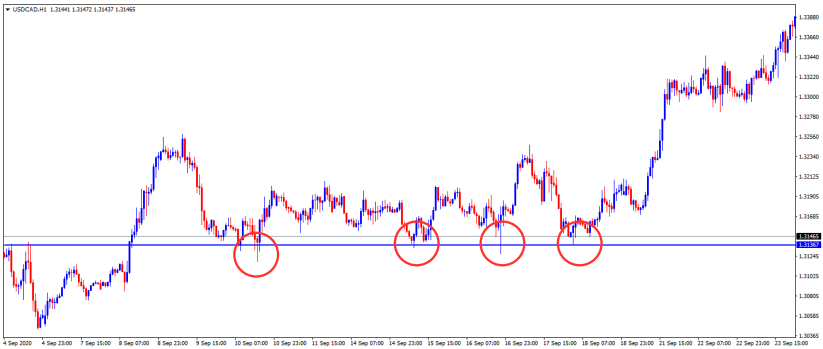
Support = Zone below the market price (Low). Buy at Support!

Resistance = Zone above the market price (High). Sell at Resistance!

NOTE: ALWAYS LOOK LEFT FOR THE NEAREST SNR!

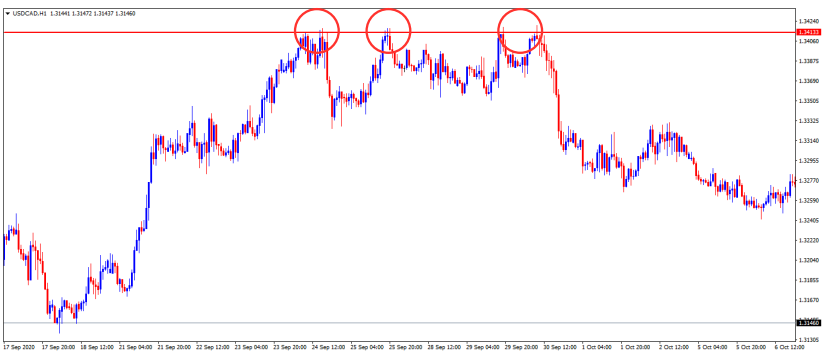
© 2021 DOCTOR PIPS

SUPPORT & RESISTANCE PRICE REACTION



PRICE BOUNCE

The red circle indicates a price that bounces or changes direction at that level, and a blue circle indicates that whenever the price returns to that level it will hold on to Support.

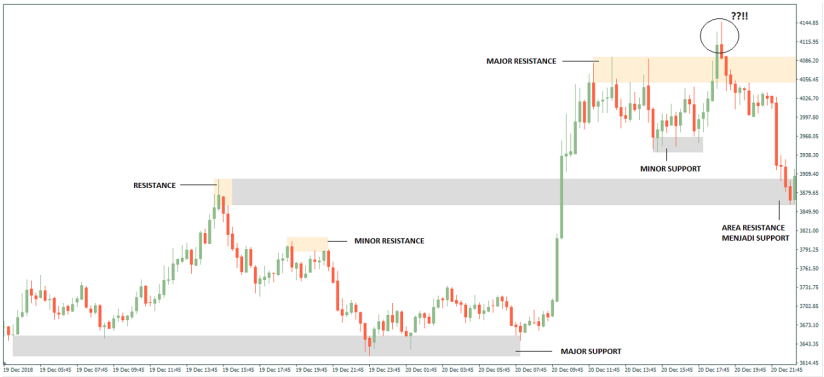


PRICE HOLD

The red circle indicates the price that remained at that level for quite some time before the market went down. Then every time the price returns to that level it will survive as Resistance

© 2021 DOCTOR PIPS

IDENTIFYING SUPPORT & RESISTANCE



What do we see from the image above to determine Support & Resistance?

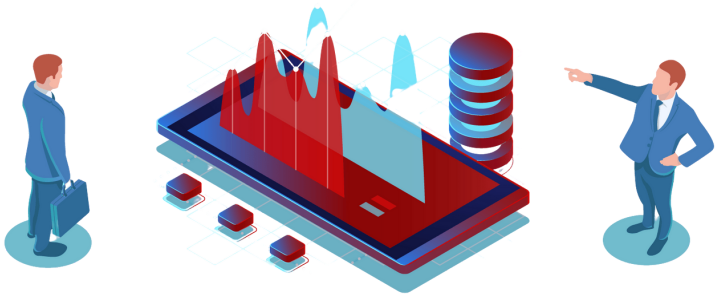
If the Support or Resistance area is always tested, and the price is not successfully penetrated (break), then the stronger the area, it can be said to be a major Support/ Resistance area.

Price is currently in the area between major Support/ Resistance. There must be an area that will also be a point back which can be said as a minor Support/minor Resistance area.

If the Resistance area is successfully penetrated (break), then the area has the potential to become a Support area. Vice versa.

© 2021 DOCTOR PIPS

STRONG OR WEAK SUPPORT & RESISTANCE



1. There is a lot of rejection at the price you are trying to achieve. LOW or HIGH. (Rejection means there is a long tail/shadow on the price)

2. Available on LARGE Time Frames namely H1, H4, Daily, Weekly or Monthly.

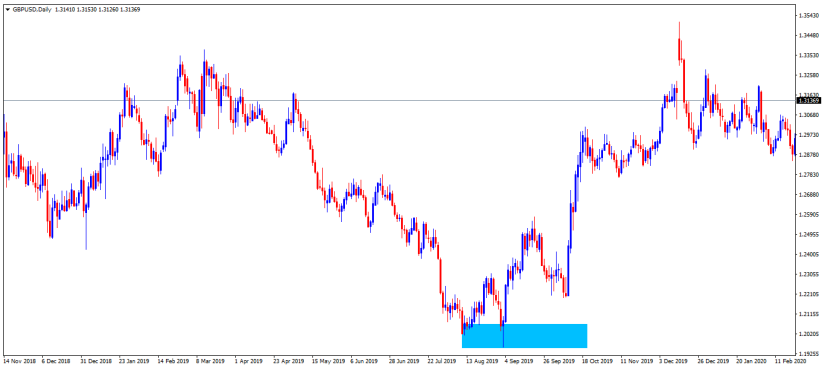
3. The larger the meframe, the stronger the SNR.

4. STRONG SNR is available on large meframe H1 and above.

5. WEAK SNR is available on meframe M30 down.

6. Price needs a breakout (Tembus) areas of SNR and CLOSE body, then SNR will break. If only the shadow comes out, it is not a breakout but is called a "SHADOW KILLER" which puts a SELL or BUY trader position.

© 2021 DOCTOR PIPS

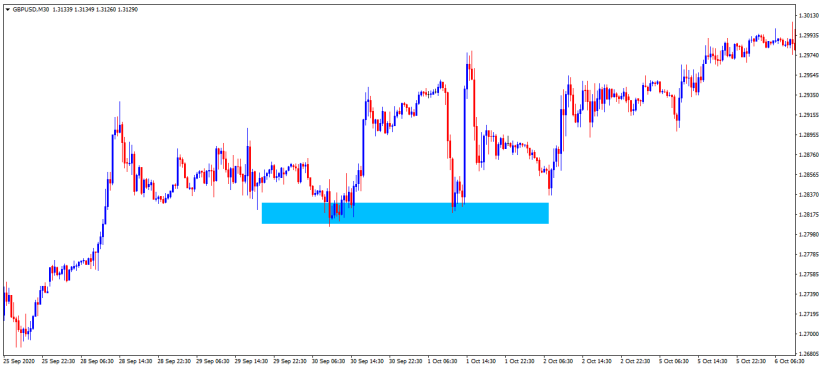


STRONG SUPPORT DAILY

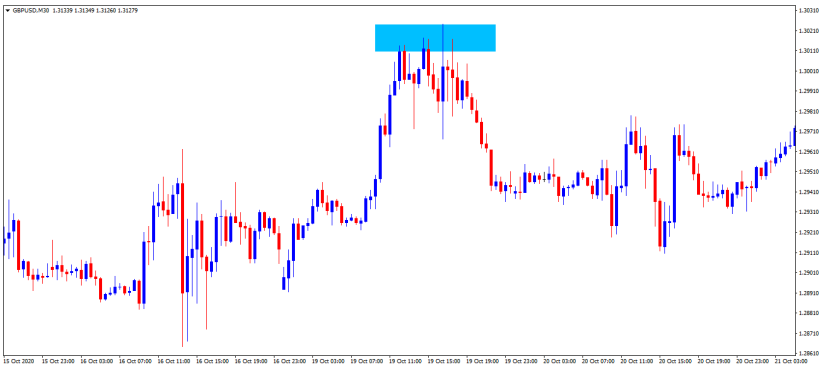


STRONG RESISTANCE DAILY

© 2021 DOCTOR PIPS



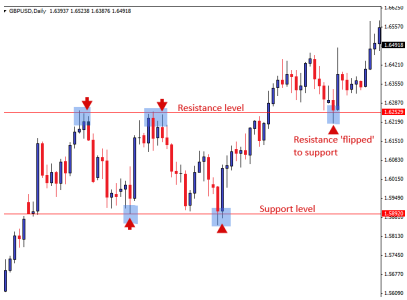
WEAK SUPPORT M15



WEAK RESISTANCE M15

© 2021 DOCTOR PIPS

SUPPORT & RESISTANCE FLIP



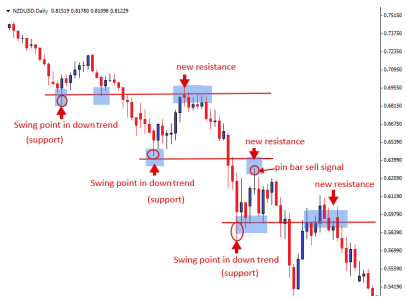
RESISTANCE BECOMES SUPPORT (RBS)

The trend changes from sell to buy. RBS is a resistance level that turns into support when the price manages to break that level.

Support & Resistance Flip (SNR FLIP) is a change in the level of Support into Resistance caused by breakout sellers so that it successfully forms a new Support or change the level of Resistance into Support because of a breakout by buyers so that it successfully forms a new Resistance.

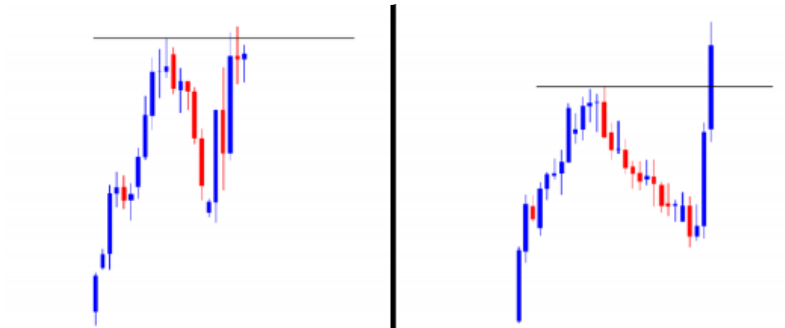
SUPPORT BECOMES RESISTANCE (SBR)

The trend changes from buy to sell. SBR is a support level that turns into resistance when the price manages to break that level.



© 2021 DOCTOR PIPS

BREAKOUT



BREAKOUT can only occur after the body candlestick close passes the previous highest or lowest price.

If you want to use shadow as a BREAKOUT signal, you need to go to a lower time frame until it finds a candlestickthat successfully closes above the previous highest or lowest price.

However, this method is very risky because the smaller the ﬁme frame used, the more risk of a "false signal"

Important points in identifying BREAKOUT:-

1. BREAKOUT occurs after the body candlestick successfully closes past the previous highest or lowest price.

2. BREAKOUT previous highest price = SIGNAL BUY

3. BREAKOUT of previous lowest price = SIGNAL SELL

© 2021 DOCTOR PIPS





Why is BREAKOUT important?

It is the initial signal of the next price direction. When a breakout occurs, the market is telling where the price is going to go after this.

But, keep in mind that a breakout is not a confirmation for the market to follow the breakout signal.

Several other things need to be taken into account as confirma on to determine whether the breakout is valid or doesn't depend on the techniques used to analyze the market.

Can you BREAKOUT only with shadows or no?

The answer is NO.

Breakouts can occur by means of body candlestick close above the highest price before or the lowest price before.

© 2021 DOCTOR PIPS